Can Place-Based Subsidies Improve Labor Market Efficiency?

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Job Market Paper — Draft available upon request

Abstract. Place-based subsidies often target firms in distressed regions on the premise, held by policymakers, that local labor is underutilized. Yet standard evaluations often overlook the labor market distortions that could make job creation efficiency-enhancing. This paper studies how wage-setting institutions—in the form of mandated, spatially uniform wage floors—shape the incidence and efficiency of a large investment subsidy program in Italy. We exploit ranking-based funding cutoffs through a regression discontinuity across applicant firms and a recentered instrument across labor markets. Combining application records, longitudinal firm data, and matched employer–employee data, we show that funded firms expand employment with little change in average wages or observable workforce composition. Incumbent workers benefit primarily through additional weeks of employment, especially those with weaker labor market attachment, while wage gains are concentrated among workers whose pay is less constrained by contractual wage floors. We find no evidence of wage increases at competing firms in the same labor markets and no detectable in-migration. Together, these findings complement our evidence that contractual minima bind for most workers, yielding employment rationing. While the subsidies alleviate the underemployment generated by rationing, the program's cost still outweighs its estimated social benefits.

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